

Notes: Bond & Levit (JFE, 2025)

ESG: A Panacea for Market Power?

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1 Big picture

- **Question.** Can firm-level ESG commitments, especially the “S” dimension that treats workers, suppliers, or customers better than market conditions dictate, reduce the welfare losses created by market power?
- **Core setting.** The paper studies an imperfectly competitive market. The baseline presentation is a concentrated labor market with two firms that hire workers from an upward-sloping labor supply curve. Parallel interpretations apply to suppliers and consumers.
- **Definition of ESG policy.** An ESG policy is a commitment to guarantee stakeholders a minimum utility level. In the labor-market interpretation, firm i adopts a minimum wage or benefit value ω_i , so managers must pay workers at least $\max\{\omega_i, W(L)\}$, where $W(L)$ is the market-clearing wage when total employment is L .
- **Moderate ESG can be pro-competitive.** A moderate ESG commitment makes the adopting firm act more aggressively in the labor market. It hires more, pushes up the market wage, and forces rivals to contract. This can reduce the monopsony distortion.
- **Aggressive ESG can backfire.** A very aggressive commitment makes the adopting firm too expensive to operate at scale. It hires less, shrinks, and may reduce employment and stakeholder welfare.
- **Governance paradigms.** Under **shareholder primacy**, boards choose ESG policies to maximize firm profits. Under **stakeholder capitalism**, boards choose ESG policies to maximize the surplus created for the firm’s own shareholders and workers.
- **Shareholder result.** A profit-maximizing firm may adopt a moderate ESG policy because it functions as a commitment to compete harder. This raises its profit at the expense of rivals.
- **Purposeful-firm result.** A purposeful firm chooses a more ambitious policy because it values worker surplus directly. But if only one purposeful firm acts, it may still hurt rival workers or impose externalities on rival stakeholders.
- **ESG competition result.** Competition in ESG policies between purposeful firms leads both firms to choose the first-best wage W^{**} and eliminates the market-power distortion.
- **Main economic message.** ESG is not always good and not always bad. Its effects depend on aggressiveness, governance objectives, and strategic interaction. Moderate commitments can discipline market power; excessive commitments can reduce scale; purposeful competition can implement the first best.

2 Model primitives and theoretical data structure

2.1 Imperfectly competitive labor market

- There are two firms, $i \in \{1, 2\}$.
- Firm i hires labor $l_i \in [0, 1]$ and produces output $f_i(l_i)$.
- $f_i(\cdot)$ is strictly increasing and concave, and $f'_i(0) = \infty$.
- Firm 1 is weakly more productive, meaning $f'_1(l) \geq f'_2(l)$ for all relevant l .
- Total labor is $L = l_1 + l_2$.
- Workers are indexed by outside option. The marginal worker’s outside utility is $W(L)$, increasing in total employment.

Interpretation: The market power distortion is a monopsony distortion: each firm recognizes that hiring more workers raises the wage paid to inframarginal workers. Therefore, decentralized profit maximization produces too little employment relative to the first best.

2.2 First-best benchmark

The planner chooses employment to maximize total output net of the outside options of employed workers:

$$S(l_1, l_2) = f_1(l_1) + f_2(l_2) - \int_0^{l_1+l_2} W(l) dl. \quad (1)$$

The first-best allocation (l_1^{**}, l_2^{**}) satisfies

$$f'_i(l_i^{**}) = W(l_1^{**} + l_2^{**}) \equiv W^{**}, \quad i = 1, 2. \quad (2)$$

Interpretation: The first-best condition equates each firm's marginal product of labor to the outside option of the marginal worker. Because both firms face the same marginal worker, the first best equalizes marginal productivity across firms.

2.3 No-ESG benchmark

With no ESG policy, firm i takes rival hiring l_{-i} as given and solves

$$r_i(l_{-i}; 0) = \arg \max_l \{f_i(l) - lW(l + l_{-i})\}. \quad (3)$$

The first-order condition in the no-ESG equilibrium is

$$f'_i(l_i^B) = W'(l_1^B + l_2^B)l_i^B + W(l_1^B + l_2^B). \quad (4)$$

The benchmark wage is

$$W^B = W(l_1^B + l_2^B) < W^{**}. \quad (5)$$

Interpretation: The extra term $W'(L)l_i$ is the wage bill effect. A firm that hires one more worker must pay the higher wage to all workers it employs. This is why employment and wages are too low relative to the first best.

2.4 ESG policy as a self-imposed stakeholder guarantee

An ESG policy is a commitment to pay stakeholders at least ω_i . In the labor interpretation, profits are

$$\pi_i(l_i, l_{-i}; \omega_i) = f_i(l_i) - \max\{W(l_i + l_{-i}), \omega_i\}l_i. \quad (6)$$

The induced reaction function is

$$r_i(l_{-i}; \omega_i) = \arg \max_l \pi_i(l, l_{-i}; \omega_i). \quad (7)$$

Interpretation: ESG is modeled as a constraint on managers. Boards choose the policy, but managers still maximize profit subject to the policy. This separation is central: ESG commitments change the feasible set for managerial decisions rather than replacing profit maximization with direct surplus maximization at the operating level.

2.5 Two key thresholds: $\lambda_i(\omega)$ and $\Lambda_i(\omega)$

The paper defines

$$\lambda_i(\omega) = \arg \max_l \{f_i(l) - \omega l\}, \quad (8)$$

so $\lambda_i(\omega)$ is the profit-maximizing employment if the firm is a price taker paying wage ω .

It also defines $\Lambda_i(\omega)$ by

$$\Lambda_i(\omega) + r_{-i}(\Lambda_i(\omega); 0) = W^{-1}(\omega). \quad (9)$$

Interpretation: $\lambda_i(\omega)$ captures the direct cost of a high ESG wage. $\Lambda_i(\omega)$ captures the strategic residual-demand effect: the ESG firm can hire up to the point where market wages equal its self-imposed minimum.

3 Models, propositions, and theoretical specifications

3.1 Lemma 1: downward-sloping no-ESG reaction functions

Lemma 1 states that $r_i(l_{-i}; 0)$ is strictly decreasing in l_{-i} , while $r_i(l_{-i}; 0) + l_{-i}$ is strictly increasing in l_{-i} .

Interpretation: If a rival hires more, market wages rise and firm i hires less. But it does not reduce employment one-for-one, so total industry employment rises. This property underlies the strategic effects of ESG commitments.

3.2 Lemma 2: monopsony distortion in the no-ESG equilibrium

In the no-ESG equilibrium,

$$l_1^B + l_2^B < l_1^{**} + l_2^{**}, \quad W^B < W^{**}. \quad (10)$$

Interpretation: This is the baseline market failure. Firms under-hire because each firm internalizes its own wage bill but not the benefit to workers of higher employment and higher wages.

3.3 Lemma 3: the ESG reaction function and three regions

The ESG reaction function is

$$r_i(l_{-i}; \omega_i) = \min \{ \lambda_i(\omega_i), \max \{ W^{-1}(\omega_i) - l_{-i}, r_i(l_{-i}; 0) \} \}. \quad (11)$$

This creates three regions:

- **Price-taking region.** If the rival hires little, the ESG minimum wage binds and the firm behaves like a price taker at wage ω_i ; employment is $\lambda_i(\omega_i)$.
- **Residual region.** For intermediate rival hiring, the firm hires enough to make the market wage exactly equal to ω_i ; employment is $W^{-1}(\omega_i) - l_{-i}$.
- **Non-binding region.** If the rival hires enough, the market wage already exceeds ω_i and the ESG policy does not bind; employment is $r_i(l_{-i}; 0)$.

Interpretation: A moderate ESG policy extends the residual region, effectively making the firm's labor supply curve more elastic. This is the pro-competitive effect. An aggressive ESG policy lowers $\lambda_i(\omega_i)$ and can shrink the firm. This is the anti-competitive effect.

3.4 Proposition 1: one ESG firm versus one non-ESG rival

If firm $-i$ adopts no ESG policy, the unique equilibrium has

$$l_i^* = \min \{ \Lambda_i(\omega_i), \lambda_i(\omega_i) \}, \quad l_{-i}^* = r_{-i}(l_i^*; 0). \quad (12)$$

Interpretation: The ESG firm either expands until the market wage reaches its policy level, or is constrained by the high cost of its own policy. The first case is pro-competitive; the second case is scale-reducing.

3.5 Moderate, aggressive, and size-maximizing ESG

There is a size-maximizing policy $\widehat{W}_i$ that separates the moderate and aggressive regions.

- If $\omega_i \in (W^B, \widehat{W}_i)$, the policy is moderate and raises the ESG firm's employment.
- If $\omega_i \in (\widehat{W}_i, W^{**})$ or beyond, the policy is aggressive and reduces the ESG firm's employment.
- At $\widehat{W}_i$, the ESG firm is as large as it can become through the ESG commitment channel.

Interpretation: Moderate ESG works by committing the firm to compete harder. Aggressive ESG stops being a competitive commitment and becomes a high-cost operating constraint.

3.6 Proposition 2: shareholder-value maximizing ESG policy

A shareholder firm may voluntarily adopt a moderate ESG policy even though the policy increases wages. The reason is strategic: the policy shifts the firm into a more aggressive labor-market position and reduces the rival's employment.

Interpretation: Under shareholder primacy, ESG can be privately profitable even when shareholders do not directly care about workers. The commitment makes the firm more aggressive in competition and can transfer surplus from rivals to the ESG firm and its workers.

3.7 Proposition 3: purposeful firm's preferred ESG policy

A purposeful firm maximizes its own created surplus, defined as firm profit plus the surplus of its own workers. Relative to a shareholder firm, it internalizes wage transfers to its workers and therefore has stronger incentives to adopt ESG.

Interpretation: Purposeful firms value stakeholder welfare, so the wage increase is less costly from the board's perspective. However, a single purposeful firm does not internalize effects on rival firms' workers and shareholders. Its policy can still have externalities.

3.8 Proposition 4: labor-market equilibrium with two ESG firms

With two ESG policies (ω_1, ω_2) , the equilibrium depends on the level and asymmetry of the policies:

- If both policies are mild, below W^B , the outcome is the no-ESG benchmark.
- If both are extremely high, near W^{**} or above, the policies constrain firms and can create equilibrium regions where one firm effectively becomes the aggressive ESG leader.
- For moderate policies, ESG reaction functions can overlap, generating multiple equilibria in the symmetric case and sharp reallocations when one firm slightly outdoes the other.

Interpretation: ESG policies are strategic variables. A firm's ESG choice affects rivals not only through wages, but also through the structure of the reaction functions and the equilibrium selection problem.

3.9 Lemma 4 and Proposition 5: ESG competition between shareholder firms

Lemma 4 shows that ESG policies are strategic complements when policies are moderate and strategic substitutes when policies are very aggressive. Proposition 5 studies equilibrium policy choices by shareholder-value maximizing firms.

Interpretation: When policies are moderate, a rival wants to outdo the ESG leader because doing so can steal the aggressive-commitment advantage. But when policies become too aggressive, matching becomes costly and the rival may undercut instead. This creates the possibility of ESG cycles and strategic overreach.

3.10 Lemma 5 and Proposition 6: ESG competition between purposeful firms

Lemma 5 characterizes the purposeful firm’s ESG response. Proposition 6 states:

$$\text{In the unique equilibrium, both purposeful firms choose } \omega_i = W^{**}, \quad (13)$$

leading to the first-best outcome.

Interpretation: This is the paper’s central welfare result. Under stakeholder capitalism, ESG policy competition solves the market-power distortion because each firm has an incentive to choose the first-best wage. Competition in ESG policies becomes a decentralized way to implement the efficient allocation.

4 Identification and theoretical strategy

4.1 What “identification” means in this theory paper

This paper is not an empirical design. The identification strategy is a theoretical decomposition. The model separates three forces:

1. the baseline monopsony or market-power distortion;
2. the strategic commitment effect of an ESG policy;
3. the governance objective used to choose the policy.

Interpretation: The paper identifies the channel by comparing allocations across carefully chosen benchmark economies: first best, no ESG, one ESG firm, two shareholder ESG firms, and two purposeful ESG firms.

4.2 Step 1: establish the benchmark distortion

The no-ESG equilibrium is compared to the first-best allocation. The comparison shows that firms under-hire and wages are below first best.

Interpretation: This creates the welfare margin that ESG could potentially improve. Without market power, there would be less reason for ESG commitments to have a pro-competitive role.

4.3 Step 2: analyze one firm’s ESG reaction function

Lemma 3 decomposes the ESG reaction function into price-taking, residual, and non-binding regions. This decomposition shows when a policy makes the firm more aggressive and when it constrains scale.

Interpretation: The same policy instrument can have opposite effects depending on its level. This is why the paper emphasizes moderate versus aggressive ESG.

4.4 Step 3: compare shareholder and purposeful objectives

The model then changes only the board's objective. Managers remain profit-maximizers subject to the ESG constraint.

Interpretation: This separation isolates corporate governance. A purposeful board chooses a different policy because it values worker surplus, but the manager's profit-maximizing response preserves a discipline that prevents overshooting in equilibrium.

4.5 Step 4: study strategic interaction in ESG choices

The two-firm ESG game reveals whether policies are strategic complements or substitutes and whether competition drives the economy toward the first best.

Interpretation: The key result is not that any individual ESG policy is always socially good. The key result is that ESG policy competition under purposeful objectives decentralizes the first-best wage.

4.6 Assumptions and threats to interpretation

- The model assumes horizontal competition in one market at a time.
- Firms make credible commitments to stakeholder utility levels.
- Managers maximize profits subject to the board's policy.
- Purposeful firms internalize only their own stakeholder surplus, not rival stakeholder surplus.
- The model abstracts from innovation incentives, heterogeneous stakeholders, vertical relationships, and dynamic adjustment costs.

Interpretation: These assumptions make the mechanism transparent. They also identify where the theory may need extension before applying to richer real-world ESG settings.

5 Figures and detailed interpretation

5.1 Figure 1: An ESG firm's labor reaction function

Read: Figure 1 plots the reaction function of a firm that commits to a stakeholder utility floor. The curve has a price-taking region, a residual region, and a non-binding region. The dashed line shows that a more aggressive policy shifts these regions to the right.

Interpretation: The figure is the visual core of the model. ESG is not just a wage increase; it changes the firm's strategic position. In the residual region, the firm commits to hire enough labor to make the market wage equal to the ESG pledge. That makes it behave more aggressively and reduces the rival's ability to exercise monopsony power. But in the price-taking region, a higher ESG floor directly raises marginal labor cost and reduces the firm's optimal employment.

Economic message: Moderate ESG works by moving the firm into the residual region. Aggressive ESG can push the firm into the price-taking constraint and make it shrink.

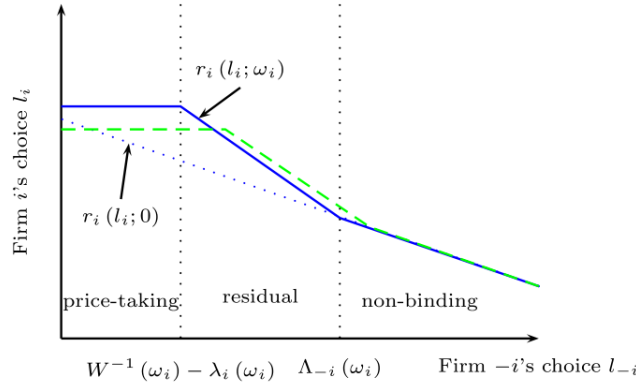


Fig. 1. An ESG firm's labor reaction function.

Figure 1: An ESG firm's labor reaction function.

5.2 Figures 2, 3, and 4: Moderate, aggressive, and size-maximizing ESG

Read: Figure 2 shows firm 2 adopting a moderate policy between W^B and $\widehat{W}_2$. Figure 3 shows firm 2 adopting an aggressive policy between $\widehat{W}_2$ and W^{**} . Figure 4 shows the boundary policy $\widehat{W}_2$.

Interpretation: In Figure 2, the ESG firm expands and the non-ESG firm contracts, but total employment and wages rise. In Figure 3, the ESG firm becomes too constrained by its own commitment and contracts. Figure 4 identifies the threshold between those two regimes: it is the policy that maximizes the ESG firm's size.

Economic message: These figures show the paper's central non-monotonicity. "More ESG" is not automatically better. The optimality of ESG depends on whether the policy is strong enough to overcome market power but not so strong that it destroys operating scale.

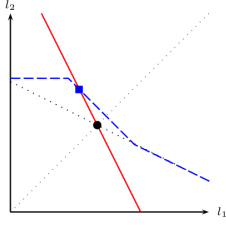


Fig. 2. Firm 2 adopts a moderate ESG policy $\omega_2 \in (W^B, \hat{W}_2)$.

(a) Moderate ESG policy.

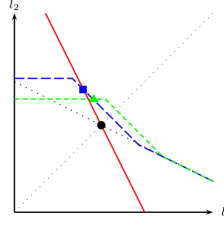


Fig. 3. Firm 2 adopts an aggressive ESG policy $\omega_2 \in (\hat{W}_2, W^{**})$.

(b) Aggressive ESG policy.

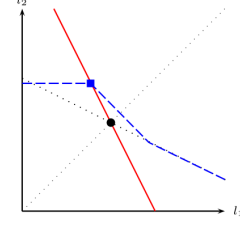


Fig. 4. Firm 2 adopts the size-maximizing ESG policy $\omega_2 = \hat{W}_2$.

(c) Size-maximizing ESG policy.

5.3 Figure 5: Firm i 's employment as a function of its own ESG policy

Read: Figure 5 plots employment of the ESG firm against its own policy. Employment rises at moderate policy levels, reaches a maximum, and then declines when policy becomes too aggressive.

Interpretation: The shape captures the trade-off between the pro-competitive and anti-competitive effects. At low to moderate ω_i , the policy lets the firm compete harder. At high ω_i , the high worker guarantee increases the firm's effective labor cost so much that hiring falls.

Economic message: The figure explains why a shareholder-value maximizing firm may choose ESG voluntarily but not choose an extreme policy. It also explains why public pressure for aggressive stakeholder commitments can backfire.

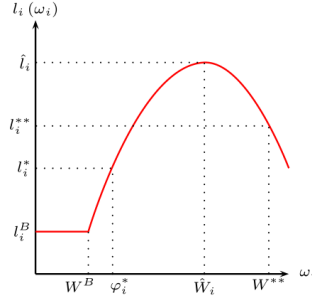


Fig. 5. Firm i 's employment as a function of its own ESG policy.

Figure 5: Firm i 's employment as a function of its own ESG policy.

5.4 Figures 6 and 7: Reaction functions under ESG policies $\omega_2 = \omega_1 = W^B$ and $\omega_2 = \omega_1 = W^{**}$

Read: Figure 6 shows reaction functions when both firms set policies equal to the no-ESG wage W^B . Figure 7 shows reaction functions when both firms set policies equal to the first-best wage W^{**} .

Interpretation: At W^B , the ESG constraints are not strong enough to change the no-ESG equilibrium. At W^{**} , the policy level is ambitious enough to target first-best wages, but it also changes the geometry of best responses, making the interaction more delicate.

Economic message: Symmetric ESG policies can either be irrelevant or transformative depending on their level. The first-best wage is special because it aligns worker utility with the efficient allocation.

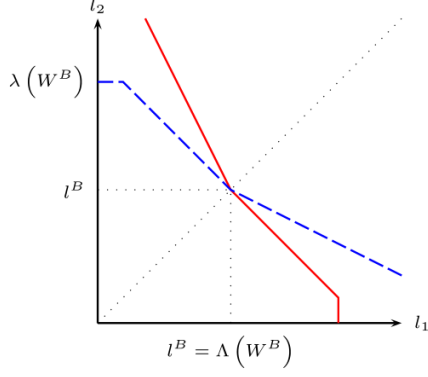


Fig. 6. Reaction functions under ESG policies $\omega_2 = \omega_1 = W^B$.

(a) Policies equal to W^B .

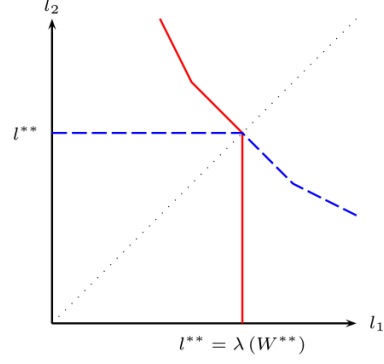


Fig. 7. Reaction functions under ESG policies $\omega_2 = \omega_1 = W^{**}$.

(b) Policies equal to W^{**} .

5.5 Figures 8 and 9: Moderate ESG reaction functions

Read: Figure 8 considers symmetric moderate ESG policies. Figure 9 considers a case where firm 2 adopts a slightly more aggressive moderate policy than firm 1.

Interpretation: With symmetric moderate policies, reaction functions can overlap, creating an equilibrium set rather than a single point. When one firm raises its ESG policy slightly above the rival's, the equilibrium set collapses toward the more aggressive firm. This creates a strong strategic incentive to outdo a rival at moderate ESG levels.

Economic message: Moderate ESG policies are strategic complements. If one firm raises its commitment, the other may want to raise its own commitment to avoid losing the strategic advantage.

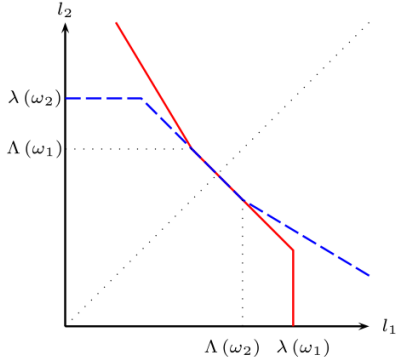


Fig. 8. Moderate ESG reaction functions: $\omega_2 = \omega_1 \in (W^B, \hat{W})$.

(a) Symmetric moderate ESG.

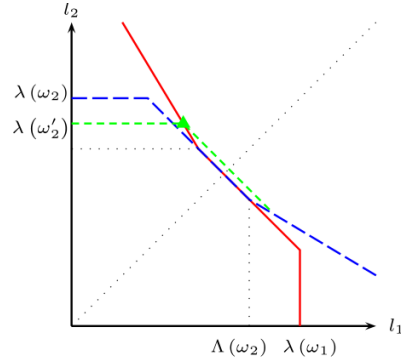


Fig. 9. Moderate ESG reaction functions: $\omega'_2 > \omega_1 \in (W^B, \hat{W})$.

(b) Firm 2 adopts a higher moderate policy.

5.6 Figures 10 and 11: Aggressive ESG reaction functions

Read: Figure 10 shows symmetric aggressive ESG policies. Figure 11 shows firm 2 choosing a less aggressive policy than firm 1.

Interpretation: At aggressive levels, matching the rival's ESG policy becomes costly because the high stakeholder guarantee reduces scale. The strategic incentive changes from outdoing the rival to undercutting the rival.

Economic message: Aggressive ESG policies are strategic substitutes. This suggests a dynamic logic: periods of moderate escalation may be followed by retrenchment once commitments become too costly.

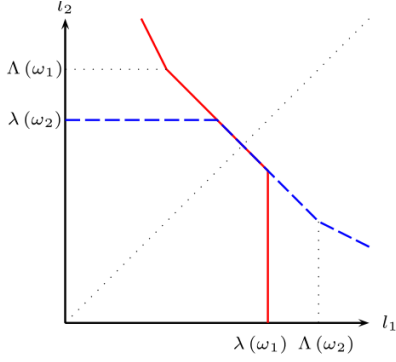


Fig. 10. Aggressive ESG reaction functions: $\omega_2 = \omega_1 \in (\hat{W}, W^{**})$.

(a) Symmetric aggressive ESG.

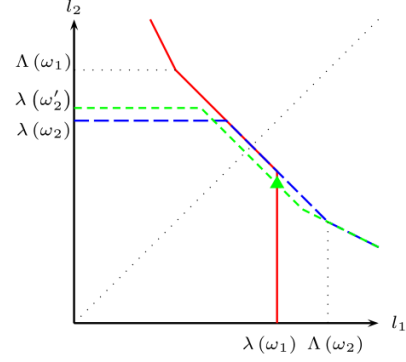


Fig. 11. Aggressive ESG reaction functions: $\omega'_2 < \omega_1 \in (\hat{W}, W^{**})$.

(b) Firm 2 adopts a less aggressive policy.

5.7 Appendix Figures A.12, A.13, and A.14: Proof cases for the ESG reaction function

Read: The appendix figures illustrate the three cases in the proof of Lemma 3: when the price-taking region determines hiring, when the residual region determines hiring, and when the no-ESG reaction is non-binding.

Interpretation: These figures show why the reaction function is the lower envelope of the direct profit-maximizing response and the ESG constraint. The proof logic formalizes the graphical intuition of Figure 1.

Economic message: The technical proof supports the main economic decomposition: ESG can bind by setting a wage, by forcing residual-market behavior, or not bind at all.

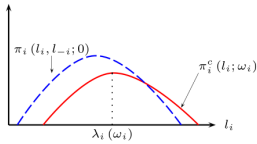


Fig. A.12. Case 1: $L_{-i} \leq W^{-1}(\omega_i) - \lambda_i(\omega_i)$.

(a) Case 1: price-taking region.

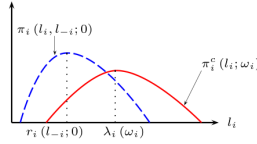


Fig. A.13. Case 2: $W^{-1}(\omega_i) - \lambda_i(\omega_i) \leq L_{-i} \leq W^{-1}(\omega_i) - r_i(L_{-i}; 0)$.

(b) Case 2: residual region.

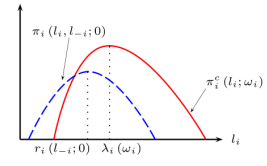


Fig. A.14. Case 3: $W^{-1}(\omega_i) - r_i(L_{-i}; 0) \leq L_{-i}$.

(c) Case 3: non-binding region.

6 Interpretive synthesis

6.1 Why ESG can reduce market power

A standard monopsonist hires too little because the marginal hiring decision raises wages on inframarginal workers. A moderate ESG wage floor commits the firm to pay a wage above the no-ESG market wage. This makes it profitable to hire more in the residual region because the firm has already committed to the wage level. The policy therefore works like a strategic commitment to expand output or employment.

6.2 Why ESG can backfire

The same wage floor becomes harmful when it is too high. Once the policy makes labor too expensive relative to marginal product, the firm stops expanding and instead contracts. The intended beneficiaries may be worse off because the ESG firm hires fewer workers and because rivals can respond strategically.

6.3 Why shareholder ESG and purposeful ESG differ

A shareholder firm values ESG only through its profit effect. It adopts ESG when the commitment increases strategic competitiveness. A purposeful firm values worker surplus directly, so it chooses stronger policies. However, because managers still maximize profits subject to the policy, the purposeful board's policy translates into operational behavior through the reaction-function mechanism.

6.4 Why purposeful ESG competition implements the first best

When both firms are purposeful, each wants to improve its own stakeholder surplus and also avoid being strategically outdone by the rival. The unique equilibrium is for both firms to adopt W^{**} , the first-best wage. The striking result is that competition in ESG policies decentralizes the planner's wage.

6.5 Policy implications

- ESG disclosure can matter because stakeholders and investors need to observe policy levels to understand whether they are moderate or aggressive.
- ESG-linked compensation may be harmful if it changes managers' objectives too much. The paper's first-best result relies on profit-maximizing managers constrained by purposeful boards.
- Antitrust analysis should consider that ESG policies can reduce market power in some ranges but can become anti-competitive or scale-reducing in others.
- Regulation that pushes all firms toward stakeholder capitalism can be welfare-improving in the model, but real-world extensions must consider innovation, heterogeneity, and multi-market interactions.

7 Short summary

- The paper studies the “S” dimension of ESG under imperfect competition.
- ESG is modeled as a credible commitment to treat stakeholders better than market conditions dictate.
- In the labor-market version, a firm commits to a wage or benefit floor ω_i .
- The no-ESG benchmark features monopsony: employment and wages are below first best.
- A moderate ESG policy can make a firm more aggressive in the labor market, increasing employment and wages.

- An aggressive ESG policy can backfire by making the firm shrink.
- A shareholder-value maximizing firm may adopt ESG because the policy strategically raises profit.
- A purposeful firm adopts stronger ESG because it values worker surplus as well as profit.
- When one firm is purposeful, it may still impose externalities on rival stakeholders.
- When both firms are purposeful, ESG policy competition leads both to choose the first-best wage.
- ESG policies are strategic complements at moderate levels and strategic substitutes at aggressive levels.
- The model generates implications for ESG disclosure, ESG-linked compensation, stakeholder governance, antitrust, and ESG cycles.

8 Conclusion

8.1 Core conclusion

Bond and Levit show that ESG policies can be a powerful response to market power, but only under the right conditions. Moderate ESG commitments can reduce monopsony or monopoly distortions by inducing firms to compete more aggressively. Aggressive commitments can reduce firm scale and hurt the intended beneficiaries. Under stakeholder capitalism, competition in ESG policies implements the first-best outcome.

8.2 Economic intuition

The intuition is that an ESG commitment changes a firm's strategic reaction function. In concentrated markets, profit-maximizing firms restrict employment, output, or quality because they internalize the price or wage effects of their actions. A moderate ESG commitment can remove part of that restraint by committing the firm to treat stakeholders better. But if the commitment is too demanding, it becomes a cost burden rather than a competitive device.

8.3 What the paper teaches about ESG

The paper rejects a simple binary view of ESG. ESG is neither a universal remedy nor a pure distraction. Its effect depends on policy level, market structure, credibility, and governance objective. The most striking result is that when firms are genuinely purposeful and compete in ESG policies, decentralized ESG choices can eliminate market power distortions.

8.4 Final takeaway

The paper's title asks whether ESG is a panacea for market power. The answer is: under shareholder primacy, no - ESG can help but can also backfire. Under stakeholder capitalism with competing purposeful firms, yes - ESG policy competition can implement the first best in the model.